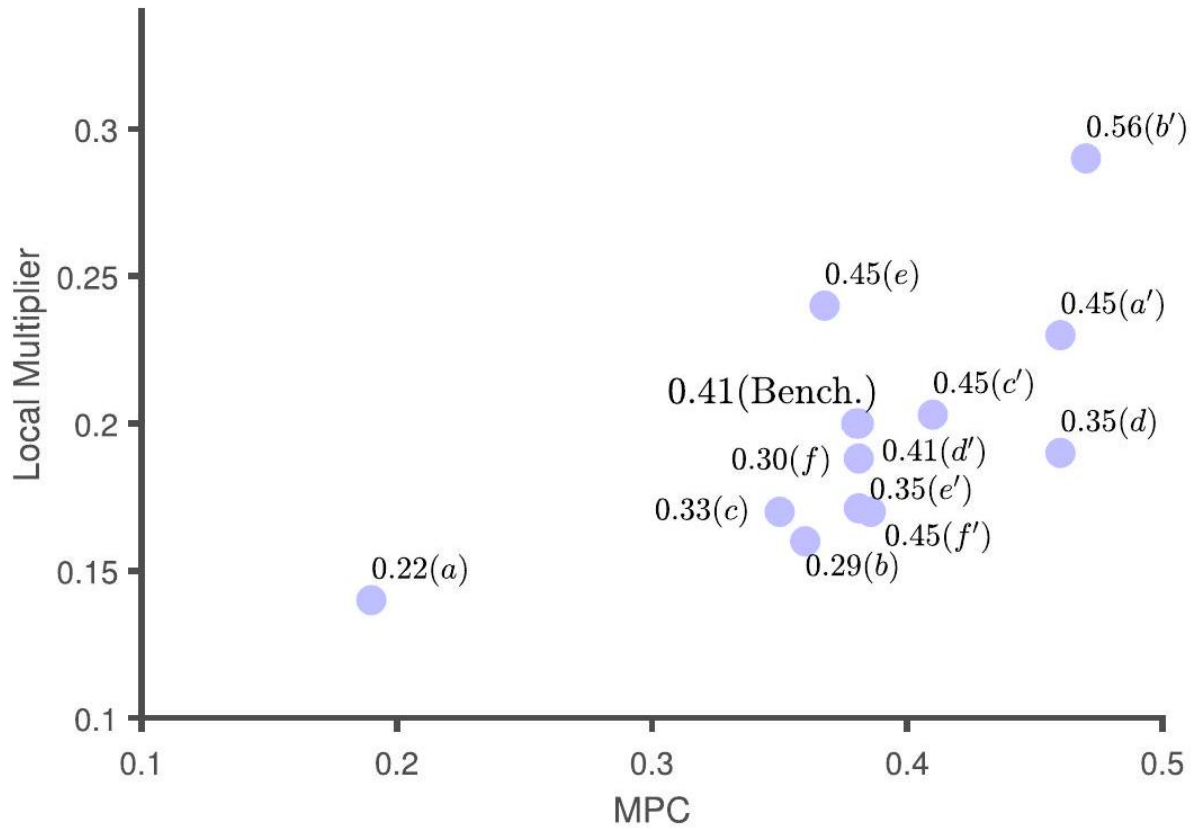




MPC, local, and aggregate multiplier under different specifications

Notes: The figure shows a scatter of the MPC and the local multiplier under different specifications: (a) discount factor dispersion, (b) dividend tax, (c) elasticity of substitution, (d) dividend allocation, (e) lump-sum transfer, and (f) duration of government spending. We denote the high parameter values of each specification with a prime. Next to each specification we report the value of the aggregate multiplier.